2. The Path to Marketing 7.0

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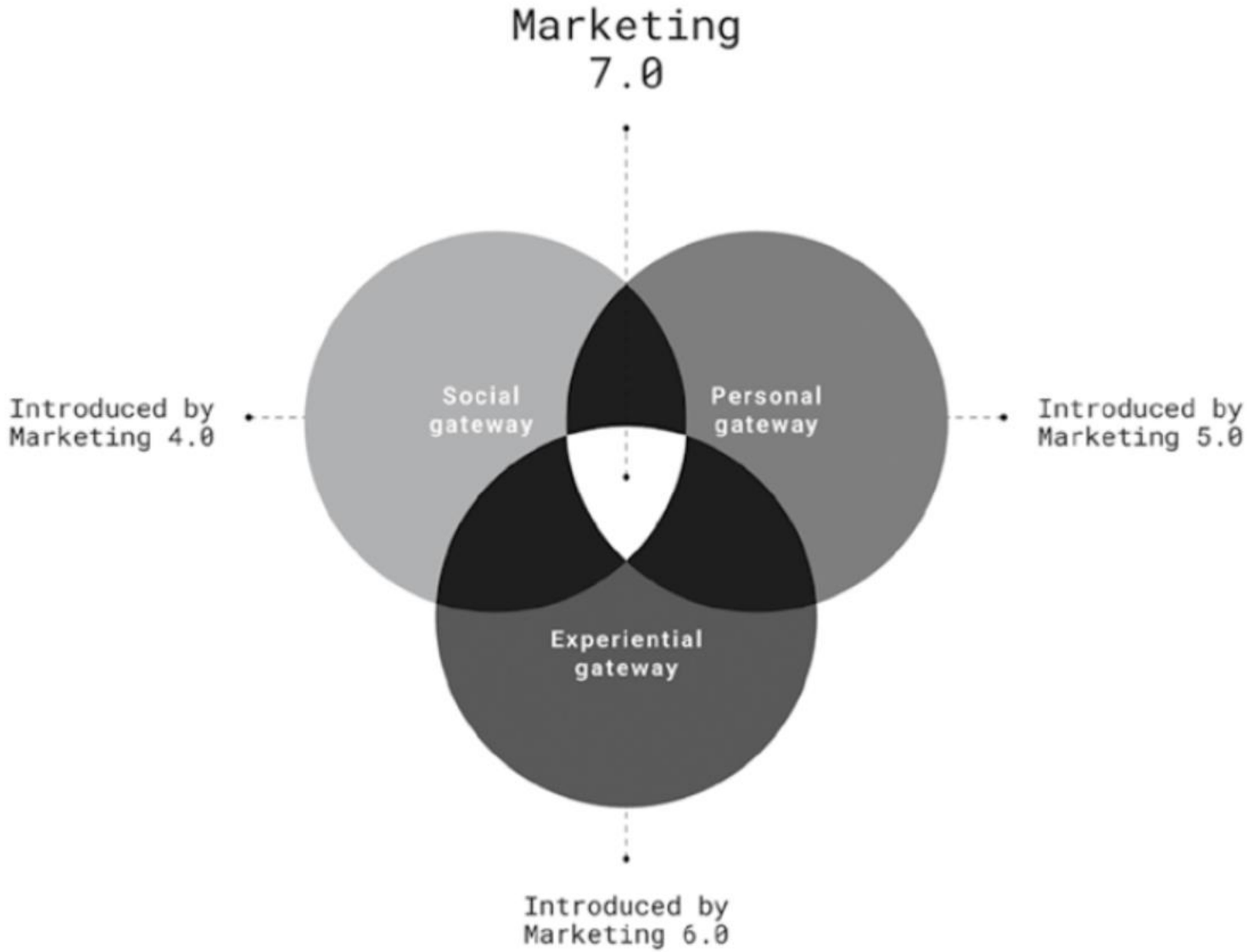


FIGURE 1.1 Enablers of Marketing 7.0.

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1. Marketing 7.0

- The authors argue that Marketing 7.0 is built on the previous stages of marketing, especially social media, AI, and immersive technology, but its main focus is now cognitive science—how people think, feel, remember, and make decisions.

- Marketing 7.0: The human mind as the destination

- Marketing 7.0 combines three major gateways:
  1. Social gateway
  2. Personal gateway
  3. Experiential gateway

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1. Marketing 7.0

- The goal is to influence how customers:
  - ✓ perceive brands
  - ✓ make decisions
  - ✓ form memories
  - ✓ build emotional connections

- The chapter says Marketing 7.0 is about cognitive marketing, meaning marketing that understands how the brain works.

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1.1. Social Gateway

- People do not judge brands alone. They are influenced by other people's opinions.
- The chapter explains two cognitive ideas:
  1. Social proof - people trust brands more when they see others using or approving them.
  2. Mirror neurons - people mentally simulate what others are doing, which explains why influencer marketing and user-generated content are powerful.

- Example: Duolingo uses funny TikTok and YouTube Shorts content to create social proof and shared experiences, especially among Gen Z.

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1.2. Personal Gateway

- Personalized messages help brands reach the rational side of the customer's mind.
- The chapter connects this to Daniel Kahneman's idea:
  1. System 1: fast, emotional thinking
  2. System 2: slow, rational thinking
- The brain filters out irrelevant messages. Only personally relevant messages get deeper attention.
- AI helps marketers predict what is relevant to each customer.

Examples:

- Spotify recommends playlists like Discover Weekly.
- Netflix creates personalized homepages and recommendations.
- These platforms keep users engaged by making content feel personally useful.

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1.2.1. System 1

- System 1 - Fast, emotional, automatic thinking - is the quick and instinctive part of the mind.
- It works automatically, without much effort. It reacts based on feelings, habits, first impressions, and shortcuts.
- In marketing, System 1 responds to things like:
  - ✓ attractive visuals
  - ✓ emotional words
  - ✓ familiar brands
  - ✓ social proof
  - ✓ influencer recommendations
  - ✓ fear of missing out
  - ✓ simple and clear messages

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1.2.1. System 1

- For example, if someone sees a Netflix show thumbnail that looks exciting, they may click without deeply analyzing why. That is System 1.

- System 1 is important because customers are surrounded by too much content. They cannot carefully analyze every ad or message, so their brain quickly filters most things out.

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1.2.2. System 2

- System 2 is slower and more logical.
- It becomes active when people need to think carefully, compare options, or justify a decision.
- In marketing, System 2 is used when customers ask:
  - ✓ Is this product worth the price?
  - ✓ Does this fit my needs?
  - ✓ Is this better than another option?
  - ✓ Can I trust this brand?
  - ✓ Should I subscribe, buy, or wait?
- For example, Spotify may recommend a playlist emotionally, but the user keeps paying for Spotify Premium because they rationally feel the service gives enough value.
- So System 1 creates attention and interest, while System 2 helps customers justify action.

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1.2.3. How personalization connects System 1 and System 2

- Personalized marketing works because it makes the message feel relevant.
- If a message matches the customer's interest, the brain says: "This is about me. I should pay attention."
- That is where the salience network comes in. The book describes it as a kind of mental gatekeeper. It decides which information is important enough to receive deeper attention.
- So the process is:
  1. The customer sees a message.
  2. System 1 reacts quickly.
  3. The salience network checks if it is relevant.
  4. If it is relevant, System 2 gives it deeper thought.
  5. The customer may act.

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1.2.3. How personalization connects System 1 and System 2

- This is why AI personalization is powerful. AI predicts what each person is likely to care about, then delivers content that feels personally useful.

Example:

- Netflix recommends shows based on viewing history.
- Spotify recommends songs based on listening habits.
- E-commerce platforms recommend products based on browsing and buying behavior.
- The goal is not just to show more content. The goal is to show the right content to the right person at the right time.

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1.3. Experience Gateway

- The final gateway is memory - Customers remember brands better when they experience them emotionally and physically. Strong emotional experiences are more likely to become long-term memories.
- A strong experience helps a brand stay in the customer's memory. Later, when the customer wants to buy something, that remembered brand is more likely to come first.
- Emotion makes experiences memorable
- The brain remembers emotional experiences better than ordinary ones.
- So, if a brand experience creates excitement, surprise, comfort, joy, or inspiration, the customer is more likely to remember it.

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1.3. Experience Gateway

- For example, a normal eyewear shop may be forgotten quickly. But Gentle Monster creates unusual stores with artistic installations, moving sculptures, and surprising designs. Customers remember the store because it feels different and emotional.

- Effective experiences balance familiarity and novelty
  1. Familiarity
  2. Novelty
  3. Emotion
  4. Multisensory stimulation

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1.3.1. Familiarity

- Familiarity makes customers feel safe and comfortable.

For example, in a retail store, customers still expect:

- clear product displays
- helpful staff
- easy product testing
- comfortable space

If everything is too strange, customers may feel confused.

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1.3.1. Familiarity

- **Gentle Monster uses familiar retail elements** so customers do not feel lost: wearable eyewear, neat shelves, try-on areas, and helpful staff. These familiar parts make the strange artistic store feel safe and understandable.



- **Lo-fi videos** feel familiar because they look like **normal social media posts from friends:** casual, imperfect, and unpolished. This makes the content easier for audiences to accept.



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1.3.2. Novelty

- Novelty creates surprise and attention.
- Unexpected design, immersive displays, or unusual interactions make the experience stand out.

- The best experience combines both:
  - ✓ familiar enough to feel comfortable
  - ✓ novel enough to feel memorable

- Gentle Monster is a good example because it still sells eyewear in a recognizable retail format, but the store environment feels like an art exhibition.

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1.3.3. Multisensory

- Experiences become more memorable when they involve multiple senses:
  1. sight
  2. sound
  3. touch
  4. smell
  5. sometimes taste
- The more senses involved, the stronger the memory can become.

For example, luxury hotels often use signature scents, lighting, music, textures, personalized room settings, and wellness treatments

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1.3.3. Multisensory

- Four Seasons resorts in Hawaii use personalized wellness experiences involving sight, sound, touch, and scent. For example, guests may receive massages based on thermal imaging or use a VR-equipped vessel that synchronizes multiple senses.

- IKEA is another example. Its showroom lets customers walk through bedrooms, kitchens, and living rooms, touch products, sit on sofas, open drawers, and taste Swedish food like meatballs. This creates a full sensory experience.

- Singapore Airlines also uses multisensory harmony. Its batik motif appears in uniforms, cabin scent, towels, lounges, and even music, creating a consistent brand feeling across sight, smell, and sound.

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1.3.4. Emotion

- Emotion makes experiences memorable
- The brain remembers emotional experiences better than ordinary ones.
- The book explains that the amygdala plays an important role here. It helps process emotions and strengthens memory formation.
- So, if a brand experience creates excitement, surprise, comfort, joy, or inspiration, the customer is more likely to remember it.

- For example, a normal eyewear shop may be forgotten quickly. But Gentle Monster creates unusual stores with artistic installations, moving sculptures, and surprising designs. Customers remember the store because it feels different and emotional.

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1.4. What makes Marketing 7.0 different?

- Marketing 7.0 is different because it focuses directly on the mind.
- The customer is now described as an augmented human—someone whose thinking, choices, and behavior are shaped by digital tools, algorithms, AI, and immersive technology.
- The marketing focus becomes:
  - ✓ not just selling products
  - ✓ not just satisfying customers
  - ✓ not just personalizing offers
  - ✓ but influencing how people think, decide, and remember
- The marketing approach becomes cognitive marketing.

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Evolution of Marketing	MARKETING 1.0 Product	MARKETING 2.0 Customer	MARKETING 3.0 Human	MARKETING 4.0 Digital	MARKETING 5.0 AI	MARKETING 6.0 Immersive	MARKETING 7.0 Mind
The Technology	Industrial technology	Broadcasting media	The Internet	Social media	Artificial intelligence	Immersive technology	Cognitive technology
The Market	Mass buyer with needs and wants	Knowledgeable customer, with mind and heart	Whole human, with mind, heart, and spirit	Connected customer	Segment of one	Phygital native	Augmented human
Marketing Focus	Sell product	Satisfy customer	Drive change	Facilitate social connection	Personalize offering	Immerse customer	Influence the mind
Marketing Approach	Product-centric	Customer-centric	Human-centric	Digital marketing	AI-powered marketing	Immersive marketing	Cognitive marketing

FIGURE 1.2 Evolution of Marketing.

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2. The Threats of AGI

- AI is becoming more autonomous and why this creates both opportunities and dangers for marketing.

- The main concern is that as AI moves closer to Artificial General Intelligence, or AGI, marketers may become too dependent on machines and lose their human role in strategy, creativity, empathy, and customer relationships.

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2.1. The Movement toward AGI

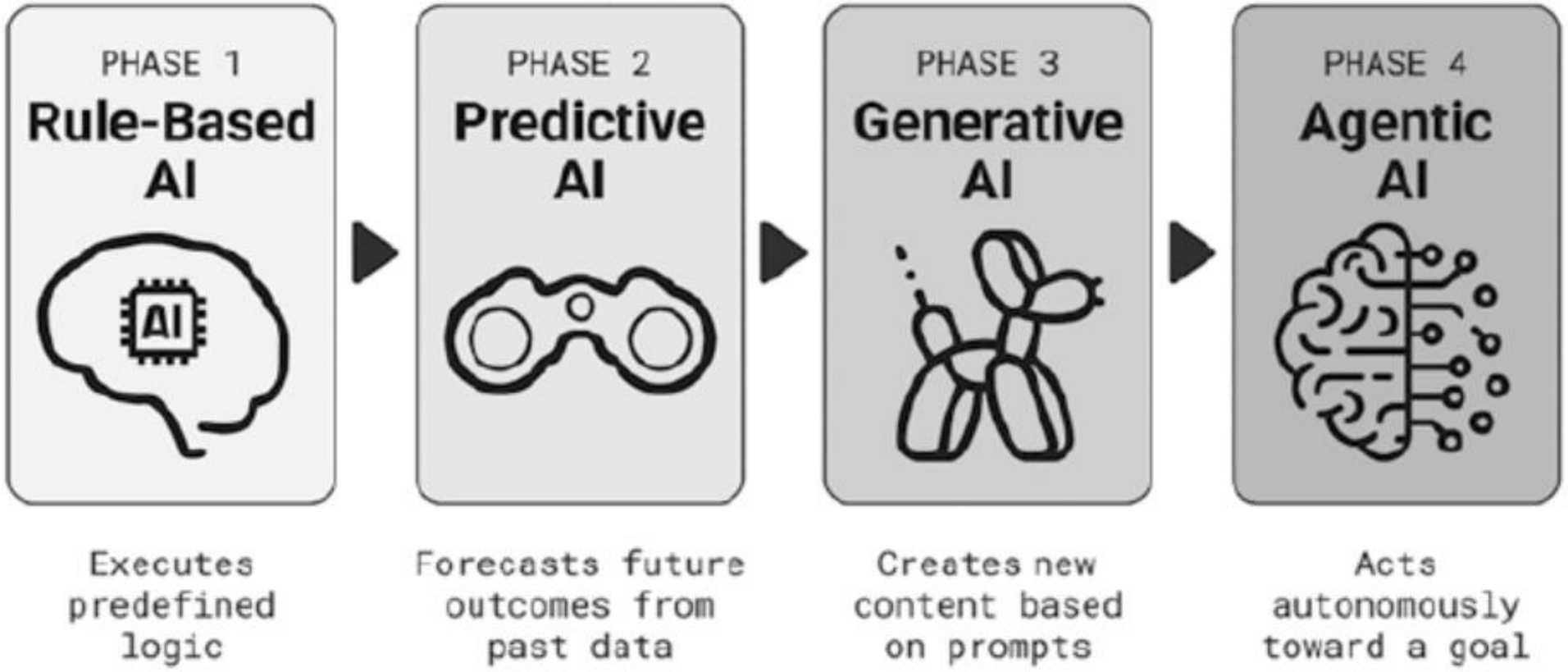


FIGURE 2.2 The Four Phases of AI Advancement.

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2.1.1. Rule-Based AI

- This is the simplest form of AI. It follows fixed “if–then” rules.

Example in marketing:

- If a customer abandons a shopping cart, send a reminder email.
- If a customer asks for product information, a chatbot sends a catalog.

Rule-based AI is useful but limited because it cannot truly learn or adapt.

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2.1.2. Predicted AI

- Predictive AI uses historical data to predict future behavior.

- Marketing examples include:
  - ✓ predicting which customers may stop using a service
  - ✓ recommending products based on past purchases
  - ✓ estimating campaign performance

- This phase makes marketing more data-driven.

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2.1.3. Generative AI

- Generative AI creates new content, such as text, images, videos, code, and campaign ideas.

- Marketing examples include:
  - ✓ writing personalized emails
  - ✓ creating social media captions
  - ✓ generating ad copy
  - ✓ powering advanced chatbots

- This phase is powerful because AI no longer only analyzes data; it also produces creative output.

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2.1.4. Agentic AI

- Agentic AI is more autonomous. It does not only respond to prompts; it can pursue goals and take action.
- In marketing, agentic AI could:
  - ✓ manage campaigns
  - ✓ choose audiences
  - ✓ test creative versions
  - ✓ allocate budgets
  - ✓ qualify leads
  - ✓ contact prospects
  - ✓ nurture customers through the sales funnel
- This is the closest step toward AGI because AI begins acting like an independent marketing manager.

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2.2. What is AGI mean?

- AGI refers to machines that can match or surpass human intelligence across many tasks, not just one narrow function.
- The chapter explains that AGI is still debated. Some people believe it could help humans overcome limitations. Others fear it could become too powerful and replace human decision-making.

- The release of ChatGPT in 2022 made AGI feel more realistic because millions of people saw that AI could communicate in a human-like way. Later, companies such as Microsoft, Google, Meta, Perplexity, and DeepSeek accelerated the AI race.

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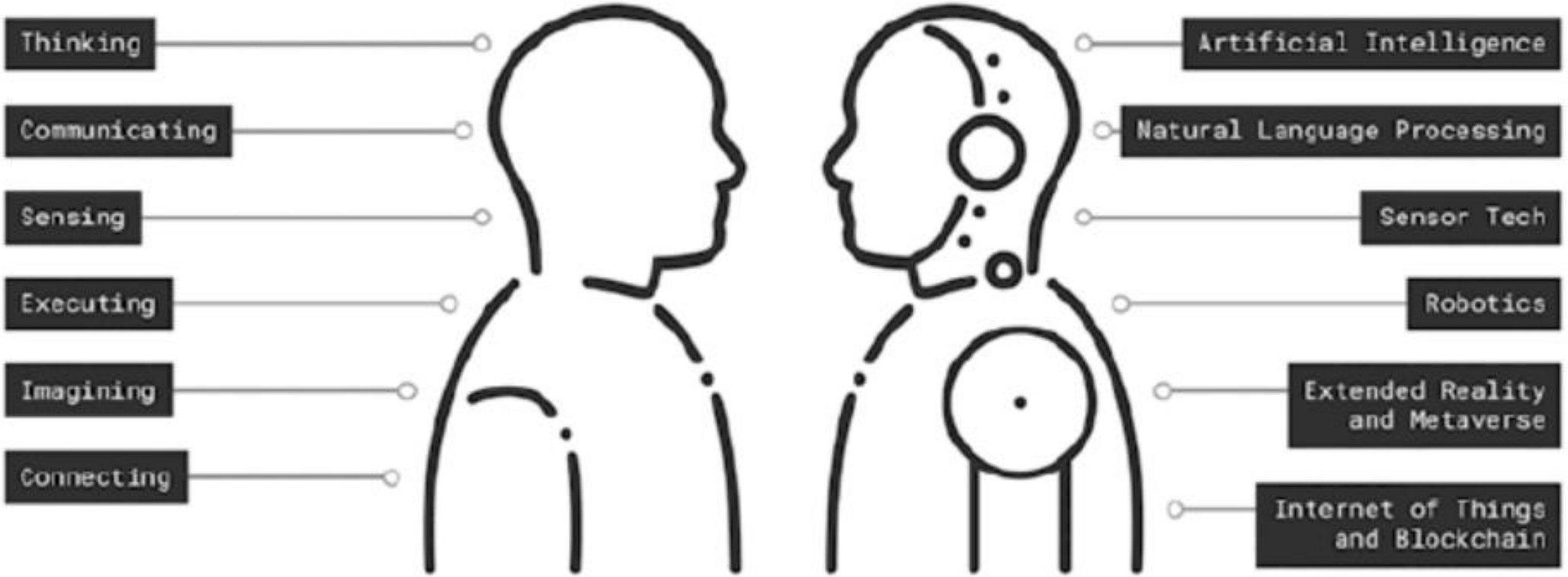


FIGURE 2.3 The Road Map to AGI.

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	PERFORMANCE MARKETING	BRAND BUILDING
OBJECTIVE	Tangible results (leads, sales)	Intangible results (brand equity)
AUDIENCE	Deal seekers and impulse buyers	Loyal customers and brand advocates
CONTENT	Promotions	Brand stories
CHANNELS	Paid media (social media, search engine, e-commerce)	Owned and earned media (organic content, publicity)
TIMEFRAME	Short term, immediate impact	Long term, lasting impact
OUTCOME	Actions	Emotional connections
METRICS	Cost per acquisition (CPA), return on ad spend (ROAS)	Brand awareness, associations, perceived quality, loyalty
OPTIMIZATION	Data-driven testing, algorithm optimization	Emotional resonance, consistency

FIGURE 3.1 Performance Marketing and Brand Building.

3. Performance Marketing & Brand Building

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4. Challenges of Engaging Augmented Humans

Marketers now face three big challenges:

- **Filtering** — people ignore most marketing content.
- **Fragmentation** — people live in algorithm-made tribes.
- **Frugality** — people are tired of trends and spend more carefully.

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4.1. Challenge 1 – Thinking – Aggressive Filtering

- The first major challenge is that augmented humans aggressively filter content.
- Because people are overloaded with digital information, their brains automatically ignore anything that looks like advertising. This is called banner blindness.
- People skip banner ads, pop-ups, polished promotional videos, repetitive AI-generated content, and obvious sales messages

- The brain protects itself by filtering out content that feels irrelevant or predictable.

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4.1. Challenge 1 – Thinking – Aggressive Filtering

The attention brain - The chapter explains three mental processes behind attention:

1. Sensory gating - The brain receives too much information, so it blocks unimportant stimuli early.
2. Selective attention - The brain chooses what to focus on based on past patterns. If something looks like an ad, the brain ignores it.
3. Processing fluency - If content is easy to understand, the brain processes it more smoothly. Simple content feels more familiar and likable.

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4.1. Challenge 1 – Thinking – Aggressive Filtering

The book suggests lo-fi content as a way to break through filtering. Lo-fi content is:

- ✓ casual
- ✓ imperfect
- ✓ mobile-shot
- ✓ less polished
- ✓ more natural
- ✓ similar to normal social media posts

It works because it does not look like a traditional ad. It feels native to the platform and easier to process. The book says good marketing should be - novel enough to break the pattern, but native enough not to feel disruptive.

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4.2. Challenge 2 – Feeling – Social Fragmentation

- Algorithms show people content based on their past behavior. Over time, this creates echo chambers, where people repeatedly see the same ideas, opinions, and values.

- This divides audiences into smaller tribes.

- For marketers, this means mass marketing becomes harder because different groups live in different digital realities. A message that works for one tribe may be rejected by another.

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4.2. Challenge 2 – Feeling – Social Fragmentation

- Echo chambers happen because platforms want users to stay longer. So they show content that matches what users already like.
- This creates:
  - stronger group beliefs
  - less openness to new ideas
  - more emotional reactions
  - more audience polarization
  - smaller niche communities
- For brands, reaching new audiences becomes more difficult because people trust content from inside their own tribe.

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4.2. Challenge 2 – Feeling – Social Fragmentation

- The social brain - People naturally prefer those who feel familiar, share their values, and reflect their lifestyle. This is called in-group bias.
- This is why micro and nano influencers are powerful. They feel more like community insiders than celebrities.
- Their influence comes from:
  - relatability
  - shared identity
  - emotional resonance
  - social mirroring
  - trust inside small communities
- The book also connects this to mirror neurons, which help people feel the emotions they observe in others.

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4.3. Challenge 3 – Buying – Selective Frugality

- The third challenge is that augmented humans are becoming selectively frugal.
- They are not simply spending less. Instead, they are spending more carefully.
- They may save money on ordinary products but still spend on things that bring emotional joy.
- This happens because people are tired of constantly chasing trends.

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4.3.1. Microtrend Fatigue

- Social media creates many fast-moving microtrends.
- Examples from the book include:
  - “quiet luxury”
  - “athleisure”
  - “internal shower drink”
  - “cloud bread”
- These trends spread quickly through influencers and algorithms, but they also disappear quickly.
- At first, people follow them because of FOMO. But over time, they become exhausted. Trend-chasing requires too much mental effort. Many Gen Z consumers now reject this and move toward minimalism and intentional consumption.

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4.3.2. The Lipstick Effect

- The book uses the lipstick effect to explain selective spending.
- During uncertain times, people may cut back on major expenses but still buy small affordable luxuries that make them feel better.
- This can include:
  - beauty products
  - coffee shop visits
  - cinema outings
  - travel
  - concerts
  - gaming purchases
  - streaming subscriptions
  - wellness apps
- The key is emotional value. People buy not only for utility, but for comfort, joy, and control.

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4.3.3. The Reward Brain

- The chapter explains that spending is linked to the brain's reward system, especially dopamine.
- Dopamine appears in three stages:
  1. Before purchase — anticipation creates desire.
  2. During consumption — pleasure appears if expectations are met.
  3. After purchase — positive memory encourages repeat behavior.

- Microtrends overstimulate the reward system. Over time, they become less exciting.
- The lipstick effect works differently. It gives emotional uplift without overwhelming the brain. It helps consumers feel:
  "Even in uncertain times, I'm still in control."

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4.4. What Marketers Should Do

- To engage augmented humans, marketers must adapt to the three brain systems:
- For the attention brain - Use content that is simple, authentic, and native to the platform. Lo-fi content can break through ad filters.
- For the social brain - Work with micro and nano influencers who belong to the audience's community.
- For the reward brain - Offer meaningful emotional value, not just hype or trend-based products.

- The chapter's key message is that marketing should not overwhelm customers. It should resonate with how they think, feel, and decide.

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4.4. What Marketers Should Do

- They filter ads aggressively, live inside fragmented digital tribes, and are tired of chasing endless trends.
- Therefore, Marketing 7.0 must engage them through:
  1. attention-friendly content
  2. community-based influence
  3. emotional value
  4. authentic experiences
  5. cognitive understanding

- In short - To engage augmented humans, brands must not create more noise. They must create meaningful resonance.

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